

FTSE 100

Valuation Report



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INTRODUCTION



➤ Background

The FTSE 100 Index (Financial Times Stock Exchange 100 Index) is the benchmark equity index of the United Kingdom and one of the most widely followed stock market indices globally. Launched on 3 January 1984 with a base value of 1,000, the index is maintained by FTSE Russell, a subsidiary of the London Stock Exchange Group (LSEG).

The FTSE 100 comprises the 100 largest companies listed on the London Stock Exchange by market capitalization. These companies represent a significant share of the total market value of the UK equity market and operate across diverse sectors, including financial services, energy, healthcare, consumer goods, mining, and industrials.

The index is market-capitalization weighted, meaning that companies with larger market values have a greater influence on the index's movements. The constituents are reviewed quarterly to ensure that the index continues to represent the largest publicly listed companies in the UK market.

Because many FTSE 100 companies generate a substantial portion of their revenues from international operations, the index reflects not only the performance of the UK economy but also broader global economic.

Introduction



➤ Background

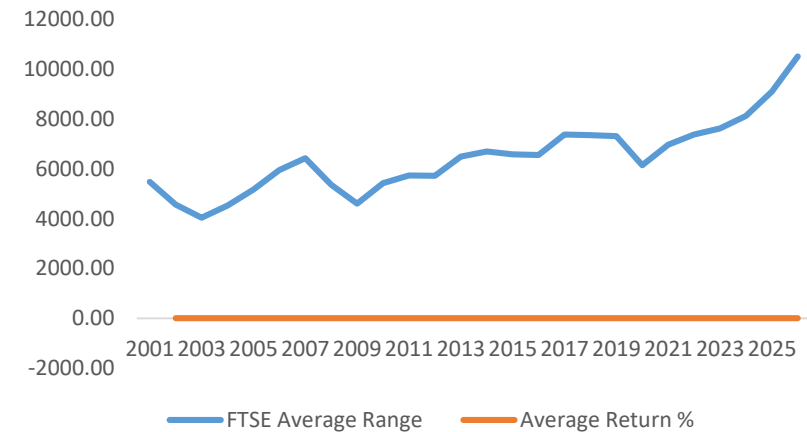
Consequently, the FTSE 100 is widely used as a benchmark for portfolio performance, asset allocation, valuation analysis, and investment research.

Key Statistics :

20 Years CAGR Returns – 3.38%
15 Years CAGR Returns – 4.45%
10 Years CAGR Returns – 5.23%
5 Years CAGR Returns – 8.66%
3 Years CAGR Returns – 11.37%



FTSE 100 Average Returns



Introduction



➤ Sector wise contribution to FTSE 100 Index

Company	Weight %
Financials	23.05%
Consumer Staples	16.00%
Energy	13.05%
Healthcare	11.05%
Industrial	9.05%
Basic Materials	8.05%
Consumer Discretionary	5.00%

Company	Weight %
Utilities	4.00%
Telecommunications	3.00%
Real Estate	2.00%
Technology	2.00%

Context of the Valuation

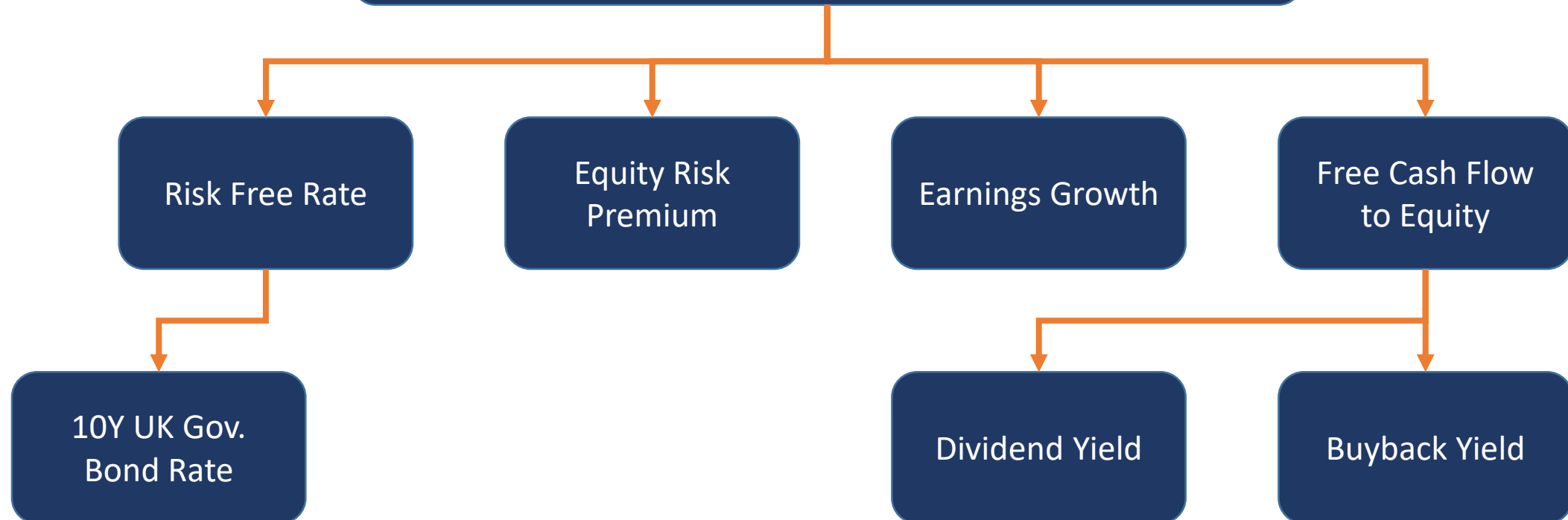


- The objective of this valuation is to estimate the **intrinsic value of the FTSE 100 Index** and assess whether the UK equity market is **undervalued, fairly valued, or overvalued** relative to its current market level.
- The valuation is based on a **cash flow approach**, using the index's **dividend yield and share buyback yield** to estimate the cash returned to shareholders. Expected cash flows are projected using long-term earnings growth assumptions and discounted using the **cost of equity**, derived from the **UK risk-free rate, equity risk premium, and market beta**.
- To evaluate the impact of historical assumptions, the valuation is conducted under **multiple time-frame scenarios**, including long-term historical averages and shorter historical periods. This scenario analysis helps assess the sensitivity of the index valuation to changes in growth expectations and required returns.
- The analysis is intended to provide a **fundamental assessment of the FTSE 100**, focusing on long-term value rather than short-term market movements.

Approach & Methodology



Pillars of the Valuation



Approach & Methodology

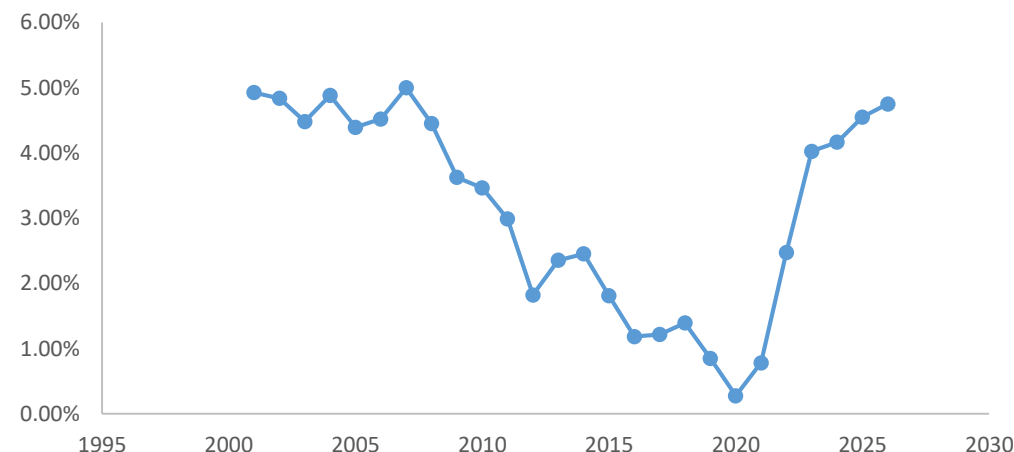


1. Risk Free Rate

- * The Risk-Free Rate (RFR) is the theoretical rate of return an investor expects from an investment with zero default risk.
- * The UK 10-year government bond (Gilt) yield is used as the risk-free rate in the valuation.
- * Used to estimate the Cost of Equity. Helps determine the required rate of return for investors.
- * Influences the discount rate used in valuation models such as DCF.
- * It represents the return on a sovereign security with minimal default risk. The 10-year Gilt yield reflects long-term interest rates, inflation expectations, and overall economic conditions

Average Risk Free Rate for -	UK 10Y Bond Rate
10 Years	2.45%
5 Years	3.99%
Latest 30 th July 2026	4.75%

UK 10Y Average Gov. Bond Range (2001-2026)



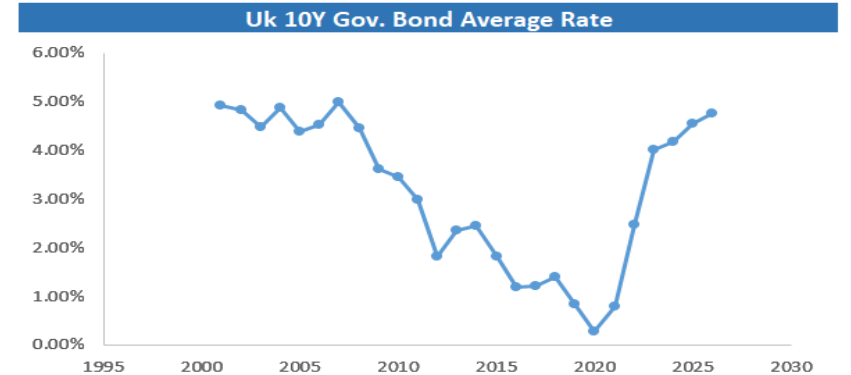
Approach & Methodology



Date	Price	Open	High	Low	Change %
1/7/2026	4.9729	4.9941	5.1267	4.8747	4.49%
1/6/2026	4.7592	4.897	4.9425	4.6814	-1.20%
1/5/2026	4.817	4.9635	5.1775	4.812	-4.10%
1/4/2026	5.023	4.8255	5.0625	4.7075	2.14%
1/3/2026	4.918	4.366	4.9905	4.366	16.10%
1/2/2026	4.236	4.505	4.558	4.2305	-6.39%
1/1/2026	4.525	4.535	4.544	4.34	1.14%
1/12/2025	4.474	4.48	4.5345	4.434	0.72%
1/11/2025	4.442	4.4355	4.598	4.3855	0.77%
1/10/2025	4.408	4.6915	4.746	4.39	-6.23%
1/9/2025	4.701	4.752	4.7995	4.602	-0.44%
1/8/2025	4.722	4.5235	4.74	4.5045	3.39%
1/7/2025	4.567	4.453	4.673	4.453	1.81%
1/6/2025	4.486	4.6675	4.6675	4.47	-3.49%
1/5/2025	4.648	4.484	4.7545	4.4595	4.71%
1/4/2025	4.439	4.633	4.7885	4.438	-5.07%
1/3/2025	4.676	4.5595	4.788	4.5255	4.29%
1/2/2025	4.4835	4.4895	4.61	4.435	-1.11%
1/1/2025	4.534	4.5935	4.885	4.534	-0.70%
1/12/2024	4.566	4.243	4.656	4.194	7.59%
1/11/2024	4.244	4.481	4.594	4.222	-4.52%
1/10/2024	4.445	4.006	4.526	3.915	10.93%
1/9/2024	4.007	4.044	4.063	3.731	-0.22%
1/8/2024	4.016	3.939	4.03	3.742	1.13%
1/7/2024	3.971	4.207	4.293	3.969	-4.91%
1/6/2024	4.176	4.306	4.335	4.003	-3.42%
1/5/2024	4.324	4.366	4.409	4.046	-0.62%
1/4/2024	4.351	4.028	4.396	3.981	10.49%
1/3/2024	3.938	4.152	4.196	3.893	-4.56%
1/2/2024	4.126	3.82	4.268	3.725	8.64%
1/1/2024	3.798	3.607	4.07	3.589	7.32%
1/12/2023	3.539	4.193	4.218	3.433	-15.25%
1/11/2023	4.176	4.558	4.564	4.028	-7.57%
1/10/2023	4.518	4.47	4.743	4.284	1.60%

Year	10Y UK Gov. Bond Average Rate
2001	4.92%
2002	4.83%
2003	4.48%
2004	4.88%
2005	4.39%
2006	4.52%
2007	5.00%
2008	4.45%
2009	3.62%
2010	3.46%
2011	2.99%
2012	1.82%
2013	2.35%
2014	2.45%
2015	1.81%
2016	1.18%
2017	1.22%
2018	1.39%
2019	0.85%
2020	0.28%
2021	0.78%
2022	2.47%
2023	4.02%
2024	4.16%
2025	4.55%
2026	4.75%

Average RFR- 20 Years	2.68%
Average RFR- 15 Years	2.27%
Average RFR- 10 Years	2.45%
Average RFR- 5 Years	3.99%
Average RFR- 3 Years	4.49%
Average RFR- Latest	4.75%



Risk Free Rate Calculation

Approach & Methodology



2. Equity Risk Premium

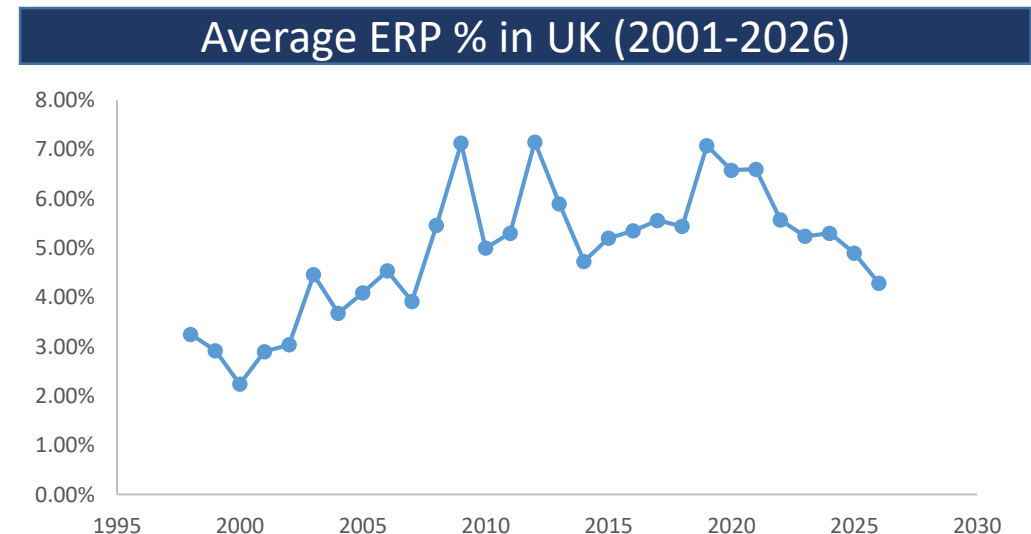
* Equity Risk Premium (ERP) is the additional return investors expect for investing in equities instead of risk-free government securities. It represents the compensation for taking equity market risk.

* A higher ERP indicates greater perceived market risk and a higher required return. A lower ERP suggests improved investor confidence and lower perceived risk.

* ERP is a key input in estimating the Cost of Equity using CAPM.

* ERP used in the valuation: [4.29%] (based on the implied/historical UK equity risk premium assumption).

Average ERP for -	ERP %
10 Years	(5.66)%
5 Years	5.06%
Latest 30 th July 2026	4.29%

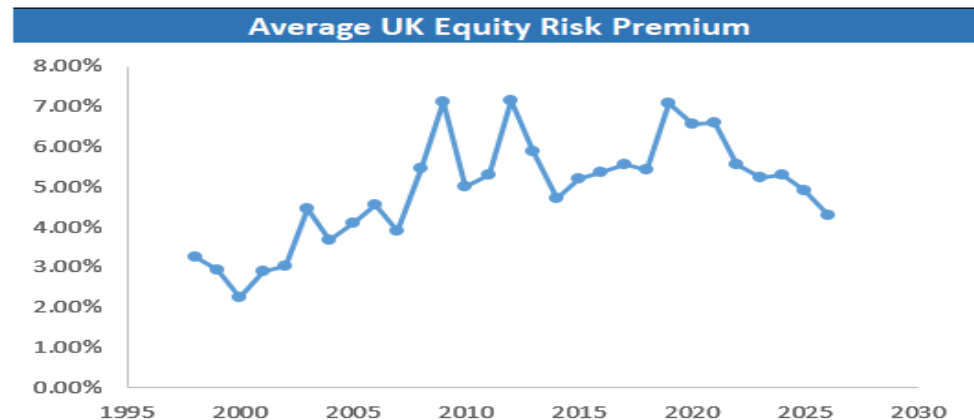


Approach & Methodology



Year	Average UK ERP
1998	3.25%
1999	2.92%
2000	2.24%
2001	2.90%
2002	3.04%
2003	4.46%
2004	3.68%
2005	4.09%
2006	4.54%
2007	3.92%
2008	5.46%
2009	7.13%
2010	5.00%
2011	5.30%
2012	7.15%
2013	5.90%
2014	4.73%
2015	5.20%
2016	5.35%
2017	5.56%
2018	5.44%
2019	7.08%
2020	6.58%
2021	6.60%
2022	5.57%
2023	5.24%
2024	5.30%
2025	4.90%
2026	4.29%

Average UK ERP	20 Years	5.59%
Average UK ERP	15 Years	5.66%
Average UK ERP	10 Years	5.66%
Average UK ERP	5 Years	5.06%
Average UK ERP	3 Years	4.83%
Average UK ERP	Latest	4.29%



Equity Risk Premium Calculation

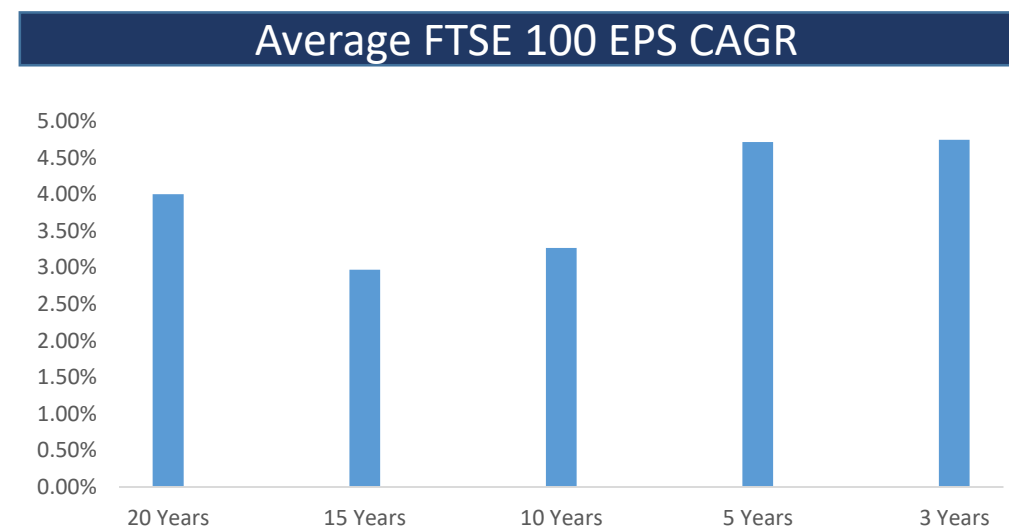
Approach & Methodology



3. Earnings Growth

- * Earnings growth is a key driver of the long-term intrinsic value of the FTSE 100 Index.
- * It reflects the expected growth in corporate earnings and shareholder cash flows over time.
- * Historical earnings growth provides a useful benchmark for estimating future growth expectations.
- * The growth assumption used in this analysis is based on the historical average earnings growth of the FTSE 100.
- * Higher earnings growth increases expected future cash flows and supports a higher intrinsic valuation.

Average EPS CAGR for -	EPS%
10 Years	3.27%
5 Years	4.71%
3 Years	4.75%



Approach & Methodology



Year	FTSE Average Range	PE Ratio	FTSE 100 EPS	EPS 3 Years CAGR	EPS 5 Years CAGR	EPS 10 Years CAGR	EPS 15 Years CAGR	EPS 20 Years CAGR
2001	5472.30	18.71	292.48	-	-	-	-	-
2002	4565.79	23.70	192.65	-	-	-	-	-
2003	4029.84	17.70	227.67	-	-	-	-	-
2004	4519.82	18.89	239.27	-6.47%	-	-	-	-
2005	5167.51	16.62	310.92	17.30%	-	-	-	-
2006	5940.91	12.65	469.64	27.30%	9.93%	-	-	-
2007	6425.19	12.54	512.38	28.89%	21.61%	-	-	-
2008	5356.95	11.52	465.01	14.36%	15.35%	-	-	-
2009	4593.00	8.63	532.21	4.26%	17.34%	-	-	-
2010	5418.04	11.57	468.28	-2.95%	8.54%	-	-	-
2011	5727.62	10.33	554.46	6.04%	3.38%	6.61%	-	-
2012	5715.63	9.78	584.42	3.17%	2.67%	11.74%	-	-
2013	6492.12	11.02	589.12	7.95%	4.85%	9.97%	-	-
2014	6691.23	13.04	513.13	-2.55%	-0.73%	7.93%	-	-
2015	6575.04	13.52	486.32	-5.94%	0.76%	4.57%	-	-
2016	6551.58	14.20	461.38	-7.82%	-3.61%	-0.18%	3.09%	-
2017	7367.09	14.34	513.74	0.04%	-2.54%	0.03%	6.76%	-
2018	7347.86	13.68	537.12	3.37%	-1.83%	1.45%	5.89%	-
2019	7305.65	12.02	607.79	9.62%	3.44%	1.34%	6.41%	-
2020	6143.13	13.04	471.10	-2.85%	-0.63%	0.06%	2.81%	-
2021	6962.87	14.29	487.25	-3.20%	1.10%	-1.28%	0.25%	2.58%
2022	7373.38	12.13	607.86	0.00%	3.42%	0.39%	1.15%	5.91%
2023	7615.27	10.27	741.51	16.32%	6.66%	2.33%	3.16%	6.08%
2024	8112.40	10.05	807.20	18.32%	5.84%	4.63%	2.82%	6.27%
2025	9094.54	17.13	530.91	-4.41%	2.42%	0.88%	0.84%	2.71%
2026	10503.19	20.46	513.35	-11.54%	1.05%	1.07%	-0.51%	0.45%

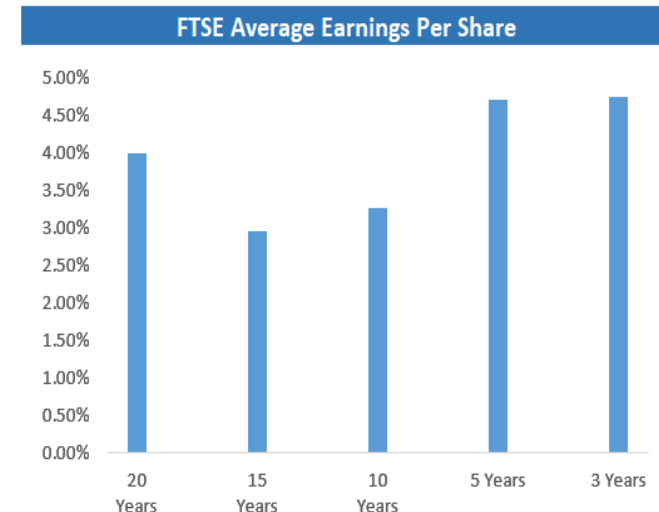
FTSE Average EPS CAGR- 20 Years 4.00%

FTSE Average EPS CAGR- 15 Years 2.97%

FTSE Average EPS CAGR- 10 Years 3.27%

FTSE Average EPS CAGR- 5 Years 4.71%

FTSE Average EPS CAGR- 3 Years 4.75%



Approach & Methodology

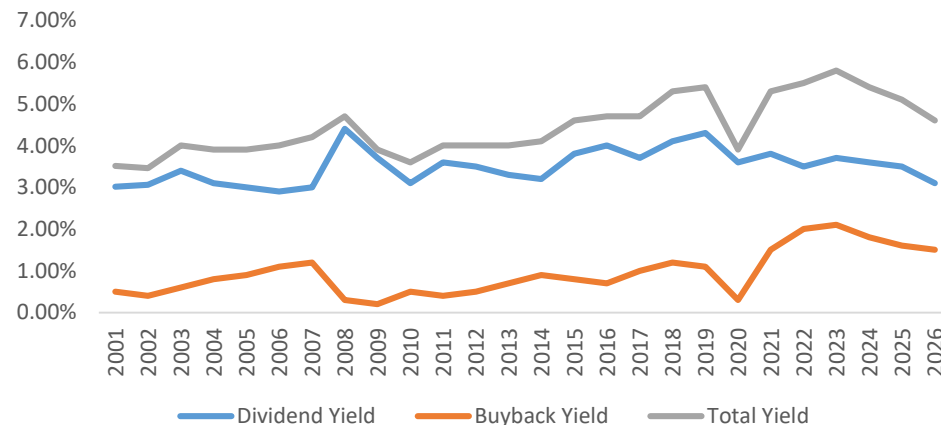


4. Free Cash Flow To Equity

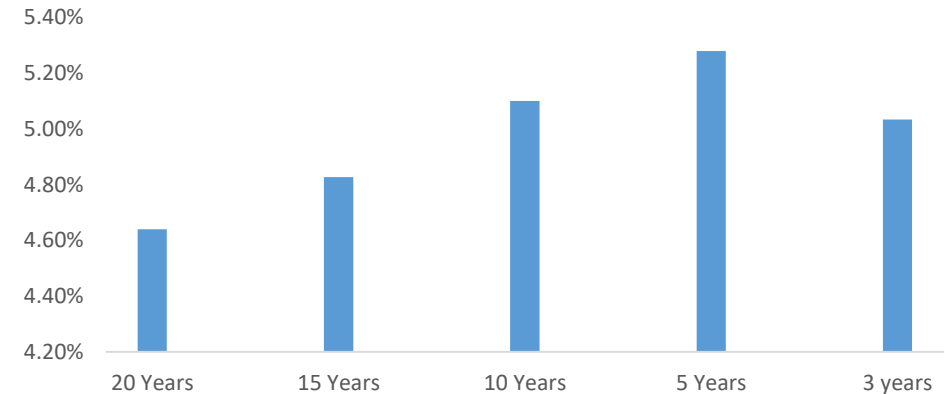
* For an equity index, FCFE can be approximated using cash distributed to shareholders through dividends and share buybacks.

* FCFE is the primary cash flow used in the equity valuation model.

FTSE 100 Dividends, Buybacks & Total Earning Yield



FTSE 100 Total Earning Yield



4.1 Free Cash Flow To Equity

* A higher FCFE generally indicates stronger shareholder returns and supports a higher intrinsic valuation.

* The projected FCFE is discounted at the cost of equity to estimate the intrinsic value of the FTSE 100 Index.

Approach & Methodology



Year	FTSE Average Range	Dividend Yield	Buyback Yield	Total Yield
2001	5472.30	3.01%	0.50%	3.51%
2002	4565.79	3.06%	0.40%	3.46%
2003	4029.84	3.40%	0.60%	4.00%
2004	4519.82	3.10%	0.80%	3.90%
2005	5167.51	3.00%	0.90%	3.90%
2006	5940.91	2.90%	1.10%	4.00%
2007	6425.19	3.00%	1.20%	4.20%
2008	5356.95	4.40%	0.30%	4.70%
2009	4593.00	3.70%	0.20%	3.90%
2010	5418.04	3.10%	0.50%	3.60%
2011	5727.62	3.60%	0.40%	4.00%
2012	5715.63	3.50%	0.50%	4.00%
2013	6492.12	3.30%	0.70%	4.00%
2014	6691.23	3.20%	0.90%	4.10%
2015	6575.04	3.80%	0.80%	4.60%
2016	6551.58	4.00%	0.70%	4.70%
2017	7367.09	3.70%	1.00%	4.70%
2018	7347.86	4.10%	1.20%	5.30%
2019	7305.65	4.30%	1.10%	5.40%
2020	6143.13	3.60%	0.30%	3.90%
2021	6962.87	3.80%	1.50%	5.30%
2022	7373.38	3.50%	2.00%	5.50%
2023	7615.27	3.70%	2.10%	5.80%
2024	8112.40	3.60%	1.80%	5.40%
2025	9094.54	3.50%	1.60%	5.10%
2026	10503.19	3.10%	1.50%	4.60%

Average FTSE Earning Yield- 20 Years 4.64%

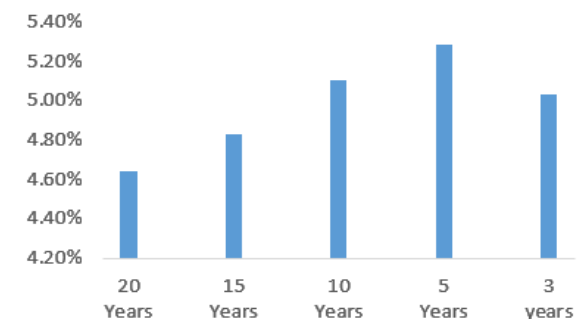
Average FTSE Earning Yield- 15 Years 4.83%

Average FTSE Earning Yield- 10 Years 5.10%

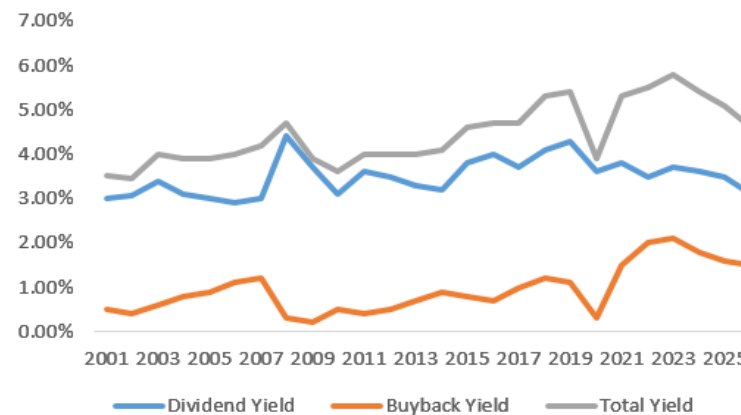
Average FTSE Earning Yield- 5 Years 5.28%

Average FTSE Earning Yield- 3 years 5.03%

FTSE Total Earnings Yield



FTSE Earnings Yield



FCFE Calculation

Approach & Methodology



5. Time Frame for the Valuation Report

- * The Valuation date of the report is as on 30th July, 2026.
- * All the averages for the data such as Risk Free Rate, Equity Risk Premium, Free Cash Flow to Equity, FTSE 100 historical returns, EPS growth and Dividend & Buyback Yield have been calculated from FY 2001-2002 to FY 2025-2026.

6. Beta

- * Beta while performing FTSE 100 Valuation has been considered as “1”.
- * A Beta close to 1 indicates that the FTSE 100 moves in line with the broader market, reflecting market-level systematic risk.
- * Beta measures the systematic risk of the FTSE 100 Index relative to the overall market, indicating the sensitivity of index returns to market movements.

Valuation of Index



FTSE 100

Valuation of FTSE 100			11417.14
Key Inputs		Assumpstions	Fairly Valued
Date	21-Aug-26	21-Aug-26	
Current FTSE 100 Price	10937.5	10937.5	
Total Yield	20 Years	4.64%	
Expected Growth	20 Years	4.00%	
Risk Free Rate	Latest	4.75%	
Equity Risk Premium	Latest	4.29%	
Cost of Equity		9.04%	
Year	Expected Divident and Buyback	Cumulative PV Factor (Risk Free Rate + Equity Risk Premium)	Presented Value of Expected Dividents & Buyback
2026	527.81	0.9171	484.05
2027	548.92	0.8411	461.68
2028	570.88	0.7713	440.34
2029	593.73	0.7074	419.99
2030	617.48	0.6487	400.58
2031	642.19	0.5950	382.07
2032	667.88	0.5456	364.41
2033	694.60	0.5004	347.57
2034	722.39	0.4589	331.51
2035	751.30	0.4209	316.19
2036	781.36	0.3860	301.58
2037	812.62	0.3540	287.64
2038	845.13	0.3246	274.35
2039	878.94	0.2977	261.67
2039-∞	21307.92	0.2977	6343.52

Parameter	Value
Current Market Price of FTSE 100	10937.5
Valuation Method	FCFE Based Index Valuation
Historical Average Earnings Growth (20-Years Average)	4.00%
Dividend Yield + Buyback Yield (20-Year Average)	4.64%
Risk-Free Rate (Latest)	4.75%
Equity Risk Premium (Latest)	4.29%
Cost of Equity	9.04%

Case 1: The valuation was conducted using the maximum available historical time frame, and the analysis indicates that the market is **Fairly Valued** under this scenario.

Valuation of Index



FTSE 100

Valuation of FTSE 100			14045.72
Key Inputs		Assumpstions	Undervalued
Date	21-Aug-26	21-Aug-26	
Current FTSE 100 Price	10937.5	10937.5	
Total Yield	5 Years	5.28%	
Expected Growth	5 Years	4.71%	
Risk Free Rate	Latest	4.75%	
Equity Risk Premium	Latest	4.29%	
Cost of Equity		9.04%	
Year	Expected Divident and Buyback	Cumulative PV Factor (Risk Free Rate + Equity Risk Premium)	Presented Value of Expected Dividents & Buyback
2026	604.73	0.9171	554.59
2027	633.23	0.8411	532.59
2028	663.09	0.7713	511.46
2029	694.35	0.7074	491.17
2030	727.08	0.6487	471.68
2031	761.36	0.5950	452.97
2032	797.25	0.5456	435.00
2033	834.84	0.5004	417.74
2034	874.20	0.4589	401.17
2035	915.41	0.4209	385.26
2036	958.56	0.3860	369.97
2037	1003.75	0.3540	355.30
2038	1051.08	0.3246	341.20
2039	1100.63	0.2977	327.66
2039-∞	26865.15	0.2977	7997.95

Parameter	Value
Current Market Price of FTSE 100	10937.5
Valuation Method	FCFE Based Index Valuation
Historical Average Earnings Growth (5-Years Average)	4.71%
Dividend Yield + Buyback Yield (5-Year Average)	5.28%
Risk-Free Rate (Latest)	4.75%
Equity Risk Premium (Latest)	4.29%
Cost of Equity	9.04%

Case 2 : The valuation was conducted using the minimum available historical time frame, and the analysis indicates that the market is **Undervalued** under this scenario.

Sources & Disclaimer



➤ Sources :

- * **Investing.com** : (Risk Free Rate historical data)
- * **Market Premia** : (Equity Risk Premium)
- * **FTSE 100 official website** : (FTSE 100 historical data)
- * **Google** : (Buyback Yield and Dividend Yield)
- * **Worldperatio.com** : (FTSE 100 PE Ratio data)

➤ Disclaimer :

- * The Valuations carried out are based out of a good amount of assumptions which are built based on the understanding of the current scenario in UK Equity Market.
- * The report has been prepared solely for educational purpose only.
- * The author assumes no liability or responsibility for the losses caused by using the report as an investment advice.

Acknowledgment



- **Report Prepared By**
Tanishq Tokse
- **Guided By**
Mr. Parth Verma
Founder, The Valuation School

Acknowledgement

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Thank you for taking the time to review this report. Your feedback and suggestions are highly valued and always welcome.

For any questions, discussions, or feedback, please feel free to contact:

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